

Policy on Employment **HR/POL/001/24**

1. PURPOSE

1.1 The objective of establishing the ADCANPharma Corporate Policy on Employment is to provide ADCANPharma Operating Division and Department with guidelines on:

- Recruitment Process.
- Application Process.
- Interview and Selection Process.
- Onboarding Process.
- Probationary Period.

2.1 Effective recruitment, selection and onboarding process are central and crucial to the successful functioning of the company.

2. SCOPE

2.1 This policy applies to ADCANPharma and its operating business units within United Arab Emirates (UAE) and Regional Office where applicable and it covers the recruitment of all levels and categories of employment from different work patterns and the local Labor Law shall apply.

3. Abbreviations

- HOD: Head of Department
- HHR: Head of Human Resources
- HOF: Head of Finance
- HOC: Head of Company
- HM: Hiring Manager
- OC: Organizational Chart
- JD: Job Description
- HRD: Human Resources Department
- LM: Line Manager
- MRF: Manpower Request Form.
- NDA: Non Disclosure Agreement.
- AAF: Application & Assessment Form
- CTC: Cost to Company.

4. Notification

4.1 This policy has made reference to the Federal Decree Law No. 33 (2021) on Regulation of Employment Relationship, its implementing Regulation under Cabinet Resolution No. 1 (2022) and its amendment under Federal Decree Law No. 14 (2022) Federal Law No. 6 (1973) on Entry & Residence of Foreigners and Federal Law No. 13 (1996) on immigration.

4.2 Where no specific reference to a certain point is made within the policy, then the relevant Federal Law in the country where ADCANPharma and operating business units shall apply.

4.3 whenever there are any changes in the Federal Law that effects the policy, the related clauses shall also be updated accordingly.

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- 4.4 All terms and conditions of employment contracts shall prevail unless changes in this policy are over and above the terms and conditions in the employment contract.
- 4.5 Management is referred in this policy as the Head of Department (HOD) with the Head of Finance (HOF) and Head of Human Resources (HHR) and The Head of the Company (HOC).

5. Policy

5.1 Recruitment Process

- 5.1.1 HHR shall initiate the recruitment process to source for the required positions to fill the vacancies as per the approved annual budget for manpower planning. HRD will initiate the process of manpower request form (MRF, F01/HR/POL/001/24) to be submitted by the relevant HOD and this process will be applicable for budgeted and non budgeted requirements.
- 5.1.2 HRD shall prepare the annual cost to company for the required positions which includes the annual monthly package and other costs included refer to CTC Form (F02/HR/POL/001/24).
- 5.1.3 Appropriate JD together with updated OC and reporting line shall be prepared by the HM and approved by the HOD for new positions prior to commencement of the recruitment process. If the recruitment is to fill an existing position, then the HM and the HOD shall review the existing JD and reporting lines.
- 5.1.4 The HM shall decide with the HOD on the type of work pattern to suit their departments resourcing requirement and meet the overall company's objectives (refer to clause Guideline's on Recruitment and employment).
- 5.1.5 Prior to any planned hiring, the MRF is to be completed by HM/HOD and forwarded to the HRD along with the JD / OC for review.
- 5.1.6 MRF shall be approved in accordance with ADCANPharma Authority Matrix as Follows:

NO	Conditions for Approval (note 1)	HHR	HOF	HOD	HOC	Chairman
1	HOD and above	R	R		A	A
2	Head of Finance (HOF)	R			A	A
3	Direct Report to HOC or total salary package > AED 300K CTC	R	R	R	A	
4	Any positions other than (2) with total salary package < AED 300K CTC	R	R	A		

"R" – Recommend and "A"– Approve

Note 1: The above authority may be subject to change from time to time at the discretion of the ADCANPharma Executive Management.

- 5.1.7 The HHR together with the HM/HOD shall decide with HRD on the recruitment method with first priority through the ADCANPharma Internal Job posting if applicable before selecting candidates through other sources for recruitment:

- CVs from own database and talent pools.
- Internship Program.
- Referrals.
- Local or Overseas Media, where appropriate.



- E- Recruitment Portal.
 - Local and overseas recruitment Agencies if applicable.
- 5.1.8 Hiring of immediate family member of the employee (i.e. spouse, parents, siblings, children) to work within the same entity is strictly prohibited. The principal behind the policy is to avoid conflict of interest and to ensure applicants are treated fairly and equally and job is offered to the best qualified applicant based on merits and abilities to meet the requirement of the job.
- 5.1.9 Re-hiring of former employees may be considered on an exception basis, with prior Management approval subject to the following conditions:
- Previous exit form from the company was not due to termination of services resulting from disciplinary action.
 - Position required is a specialized function & essential and there are no suitable candidates to fill the post.

5.2 Application Process

- 5.2.1 The shortlisting of applicants for interview shall be performed by HRD based on the following:
- Job requirements / Job description.
 - Specific Skills set / Work Experience.
 - Required work pattern (as per MRF).
 - Within the defined salary parameters for the role.
- 5.2.2 Part (1) of the Application & Assessment Form (AAF, F03/HR/POL/001/24) shall be completed by the prospective shortlisted applicants filled with their personal details before the interview, enclosing:
- Copy of Passport and identity card where required.
 - Curriculum Vitae (CV).
 - Copies of Academic and Professional certificates.
- 5.2.3 Applicants are required to declare in the AAF Part 1 where applicable, whether they:
- Are medically fit for the job.
 - Are joining from another company within UAE as confirmed employee.
 - Have been convicted of any criminal offense by submitting a Police Clearance Certificate. Where required, especially where the candidate is recruited from abroad.
 - Have family members and / or relatives working in ADCANPharma and its operating business units, if yes, state which department and position.
 - Have worked in ADCANPharma or any of its business unit, if yes, state which department and year of exit.
- 5.2.4 HRD should check the AAF and verify if the candidate joining from another company is a confirmed staff, as there are certain recovery costs that need to be paid to his/her previous employer, if still under probation. This must be informed to the HM/HOD for decision.

- 5.2.5 All completed AAFs shall be treated as private and confidential and only made available to those directly involved in the recruitment and selection process.

5.3 Interview and Selection Process

- 5.3.1 HHR shall establish the panel of interviewers to follow the approving authority as per the Point 5.1.6 in addition to the approving authority, HHR, HM, and HOD shall also form part of the interview panel, where appropriate, the approving authority may nominate a proxy to represent them for the interviewing process and this shall be noted in the AAF.

- 5.3.2 HRD shall ensure:

- Part (2) of AAF (F03/HR/POL/001/24) shall be completed by the panel of interviewers after the interview session.
- Interviewed candidates are notified of the outcome, as soon as possible by phone or letter.
- Unsuccessful candidates AAFs are retained for (3) three months from date of interview.

- 5.3.3 The selection process shall be based on collective decision of panel of interviewers where possible. Failing which the majority rule shall apply, whereby the HM (or direct report) must be part of the majority who will select the candidate.

- 5.3.4 HRD shall sight and verify the original certifications and obtain copies of the same duly attested by the relevant authorities and all other supporting documents from the candidate.

- 5.3.5 HRD shall ensure the following terms and conditions are stipulated clearly in the Letter of Offer:

- Type of Employment Contract – Limited contract specified period, subject to renewal upon mutual agreement.
- Type of work pattern – Based on the requirement as per MRF.
- Commencement Date.
- Position offered.
- Job Grading or Category, where appropriate.
- Probationary period – Subject to a maximum of six (6) months in total.
- Termination during probationary period: Notice period of fourteen (14) days for employer and one (1) month for employee.
- Details on remuneration package with breakdown of basic salary and other benefits, allowances, annual ticket, where applicable.
- Leave entitlement.
- Medical Insurance, subject to acceptance by insurance company, class of insurance and coverage for medical insurance limit per annum.
- Subject to obtaining clearance from various government authorities, including the issuance of work permit and residence visa.
- Subject to obtaining medical clearance.
- Abide with ADCANPharma company policies, procedures, guidelines, ADCANPharma ethical codes and values, employee's Handbook.
- "No competition" clause as per Federal Law and its Cabinet Resolution.
- Details of employees work obligation.
- Clauses on Confidentiality (NDA) and Conflict of Interest.
- End of service benefits.



- Termination notice: Notice period of minimum one (1) month to a maximum of three (3) months, after confirmation.
- Comply with the requirements of Federal and Local Laws.
- Appropriate Clause on "bonding employee for a specified period", this clause is applicable to employee that sent for specialized training program, This clause shall also include the recovery of all costs involved in sending the employee for training , should the employee resign before the expiry of the specified period (to be determined by HOC depending on the job function and cost of training, subject to a minimum of one year), where applicable.

5.3.6 HRD shall ensure the above details are correctly mentioned in the Letter of Offer, as this document will be sent to the Ministry of Human Resource & Emiratization (MoHRE) where it would be updated into their system for issuance of the employment contract.

5.4 Work Permit, Employment Contract & residency Visa.

- 5.4.1 Upon receiving the acknowledgement of acceptance of the letter of offer from the candidate, HRD shall commence with the process of registration of the employment with MoHRE.
- 5.4.2 HRD shall ensure all the required documents are prepared and collected from the candidate to be submitted to the MoHRE for issuance of the work permit, employment contract and residence visa.
- 5.4.3 HRD must ensure the above formalities are completed prior to the new employee commencing work, the same applies for visa transfer if the employee is joining from another company in UAE, as per Article 6 of Federal Decree Law No. 33 (2021) on Regulation of Employment Relationship.
- 5.4.4 There are different type of work permits to be issued depending on the category and sourcing for employment.
- 5.4.5 Employment contract shall be processed upon acceptance of the Letter of Offer, all employment contracts shall be issued as limited contract, as per Article 8.3 of the Federal Decree Law No. 33 (2021). A copy of the signed employment contract is provided to the employee, the start date for the employment contract should be aligned to the joining date.

5.5 Onboarding Process

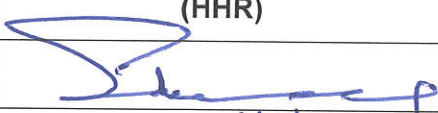
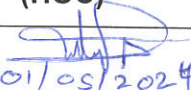
- 5.5.1 Onboarding is an important process to integrate the employee into the company, HRD shall facilitate the process to ensure smooth induction.
- 5.5.2 Prior to commencing the boarding process, the new employee shall complete the required forms and submit all relevant documents to complete the formalities for onboarding process.
- 5.5.3 HRD shall use where appropriate onboarding tool & tracker to familiarize the new employee with the company before the start date.
- 5.5.4 Induction Checklist Form (F04/HR/POL/001/24) will be used as a guideline to ensure all the relevant documents are collected and all required actions are completed at the time of joining of an Employee.

5.6 Probationary Period

- 5.6.1 HRD shall ensure all newly recruited employees undergo a minimum probationary period of three (3) Months to a maximum of (6) Months.



- 5.6.2 HRD shall send out a notification to the Line Manager (LM) and copied to the HOD for probationary review one month in advance of the expiry of probationary period.
- 5.6.3 A Probationary review shall be carried out by the LM and HOD to confirm the employee prior to expiry of probationary period, where the employee's performance versus expectations shall be considered. The review should be completed and returned to HRD at least two weeks before the expiry date.
- 5.6.4 If the employee is not performing up to the required levels:
- The Probationary period may be extended for another 3 months in total not exceeding six (6) months, as per Article 9 of Federal Decree Law No 33 (2021) on the Regulations of Employment Relationships. LM and HOD shall revert to HRD at least one week before expiry of the probationary period for an extension and state the reasons and specify the period of extension required, at least one (1) month to three (3) months.
 - Should the LM and HOD decide to terminate the employee, then LM and HOD to authorize the Probationary Appraisal Form (F05/HR/POL/001/24) and return to HRD immediately or within one (1) week to proceed with the issue of notice for termination and notice period of fourteen (14) days.

Released By	Endorsed By	Approved By
Head of Human Resources (HHR)	Chief Excellence Executive (CEE)	Head of Company (HOC)
 11/5/2024	 01.05.24	 01/05/2024